Canadian Energy Majors

Relative Valuation, Price–Fundamentals Divergence & the 2026 Oil Shock

CNQ · CVE · SU · IMO

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Independent equity research project — Python data pipeline + Excel valuation model

Methodology & Data Pipeline

Python — Data Collection

- yfinance pulls: income statement, cash flow, balance sheet (2022–2026)
- Daily price history for 4 companies + WTI crude (CL=F)
- Long-format schema (Company, Year, Metric, Value) — cleaned & validated
- Exported to Excel for modeling

Excel — Analysis & Modeling

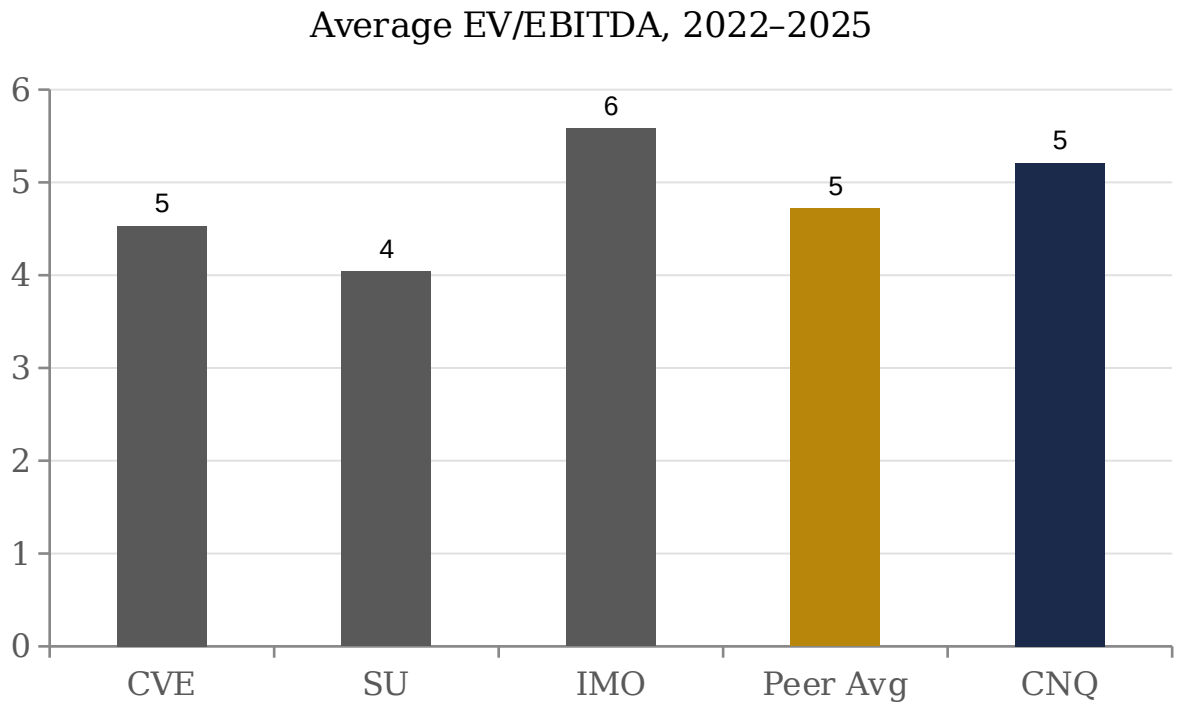
- Comps table: EV/EBITDA built from raw inputs, not imported multiples
- Indexed trend analysis: price vs. EBITDA, 2022 = 100
- Linear trend forecast for oil price; actual vs. projected 2026
- Stock sensitivity (beta) to oil price moves, by company

Comparable companies

Target: Canadian Natural Resources (CNQ) — Peers: Cenovus Energy (CVE), Suncor Energy (SU), Imperial Oil (IMO)

All four are large-cap, Calgary-linked, independently-traded Canadian oil & gas majors — chosen for comparability and relevance to Calgary energy coverage teams.

Finding 1 — Relative Valuation (Comps)



Implied valuation (peer method)

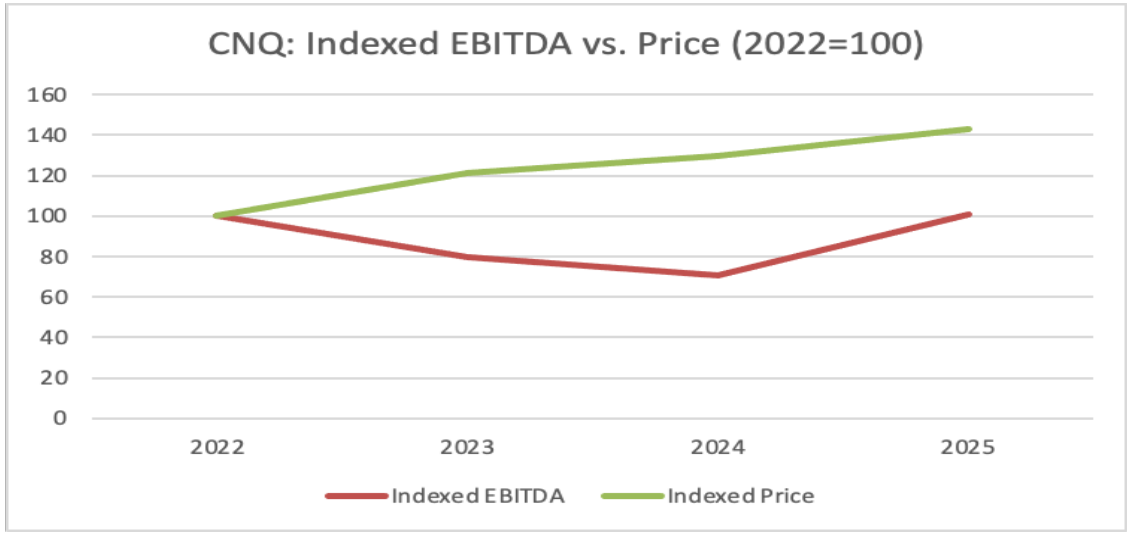
Peer avg multiple (CVE, SU, IMO)	**4.72x**
CNQ avg EBITDA (2022–25)	**$19.07B**
Implied Enterprise Value	**$89.94B**
Implied share price	**$35.70**
CNQ actual price (2025)	**$45.18**

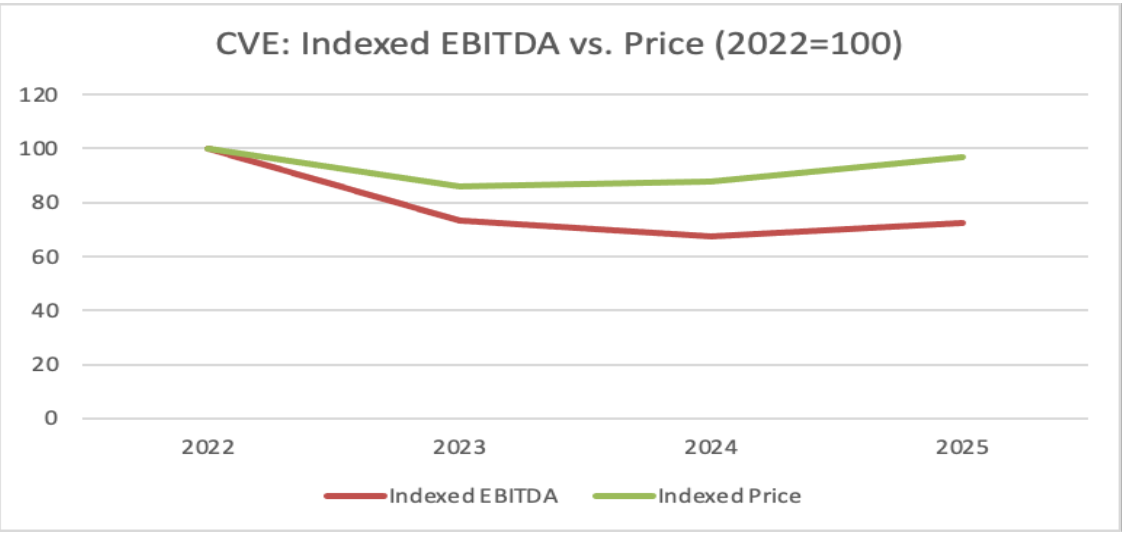
CNQ trades ~26.5% above peer-implied fair value

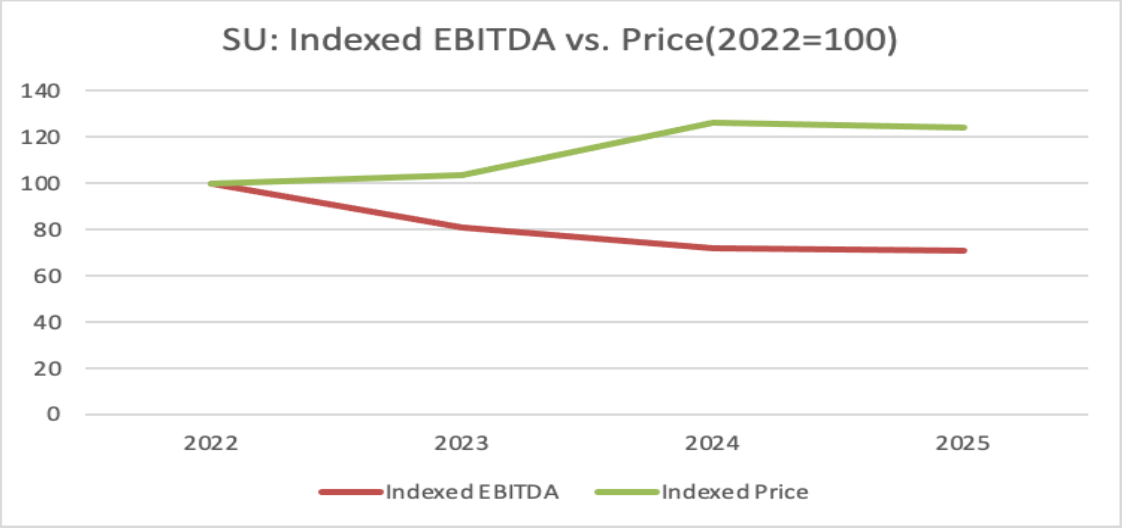
A comps gap has two honest readings: the market may be pricing in stronger forward growth for CNQ (e.g. the 2024 Chevron Alberta asset acquisition), or CNQ may simply be overvalued relative to peers on a trailing basis. Findings 2 and 3 test which explanation holds up.

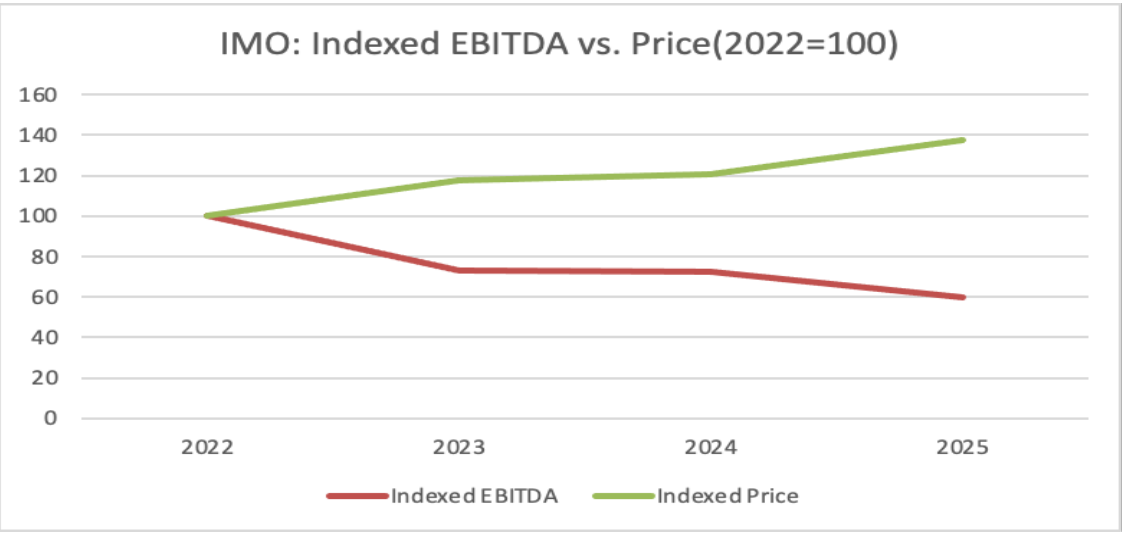
Finding 2 — Price vs. Fundamentals Divergence

Indexed EBITDA vs. Indexed Price, 2022 = 100







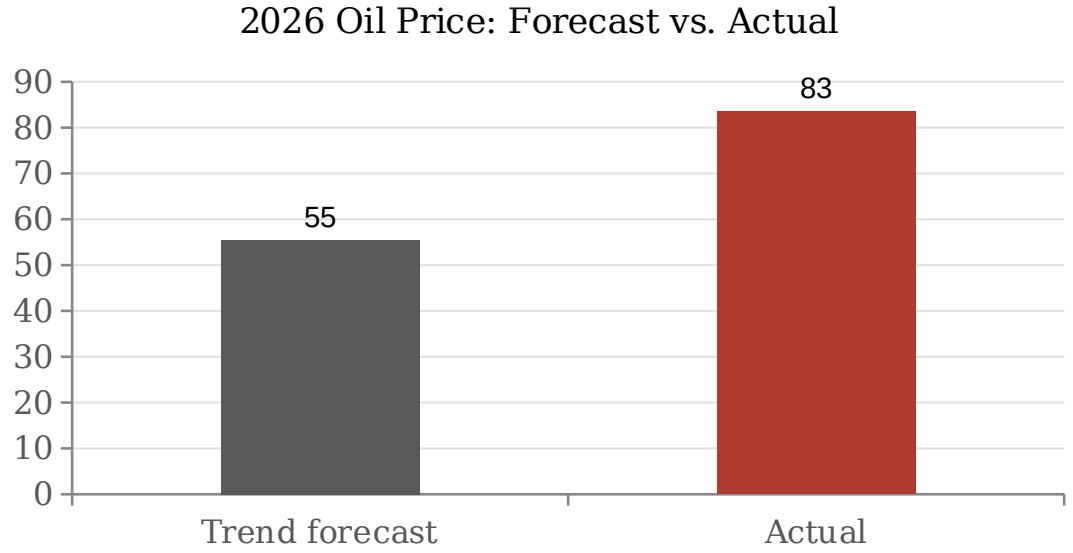


Finding 2 (cont.) & Finding 3 — The 2026 Oil Shock

Divergence ranking (2025 gap, index points)

CVE (tightest)	**24.4**
CNQ	**42.4**
SU	**52.9**
IMO (widest)	**77.4**

Wider gaps correlate with more persistent EBITDA decline (IMO never recovered across 2022–25).



Actual 2026 oil price is running ~50% above what the 2022–2025 trend would have projected — evidence of a real supply shock, not a continuation of the prior downtrend.

Oil sensitivity by company (2022–2026 daily data)

IMO shows the largest dollar move per $1 of oil ($0.38) but the lowest R^2 (0.27) — its stock is also driven by factors beyond crude, consistent with its outsized price/fundamentals gap above.

Conclusion & Skills Demonstrated

Key takeaway

CNQ's premium to peers is not obviously justified by its own fundamentals trend — but 2026's oil shock (+50% vs. trend) helps explain sector-wide price strength that outpaced trailing earnings across all four names, not just CNQ.

Skills applied

- Python: API data pulls, pandas, data cleaning & validation
- Excel: comps modeling, EV build-up, dynamic trend analysis
- Statistics: linear regression, beta/R^2 sensitivity analysis
- Equity research judgment: methodology choices, caveats, macro context

Full data pipeline, model, and analysis available on GitHub.